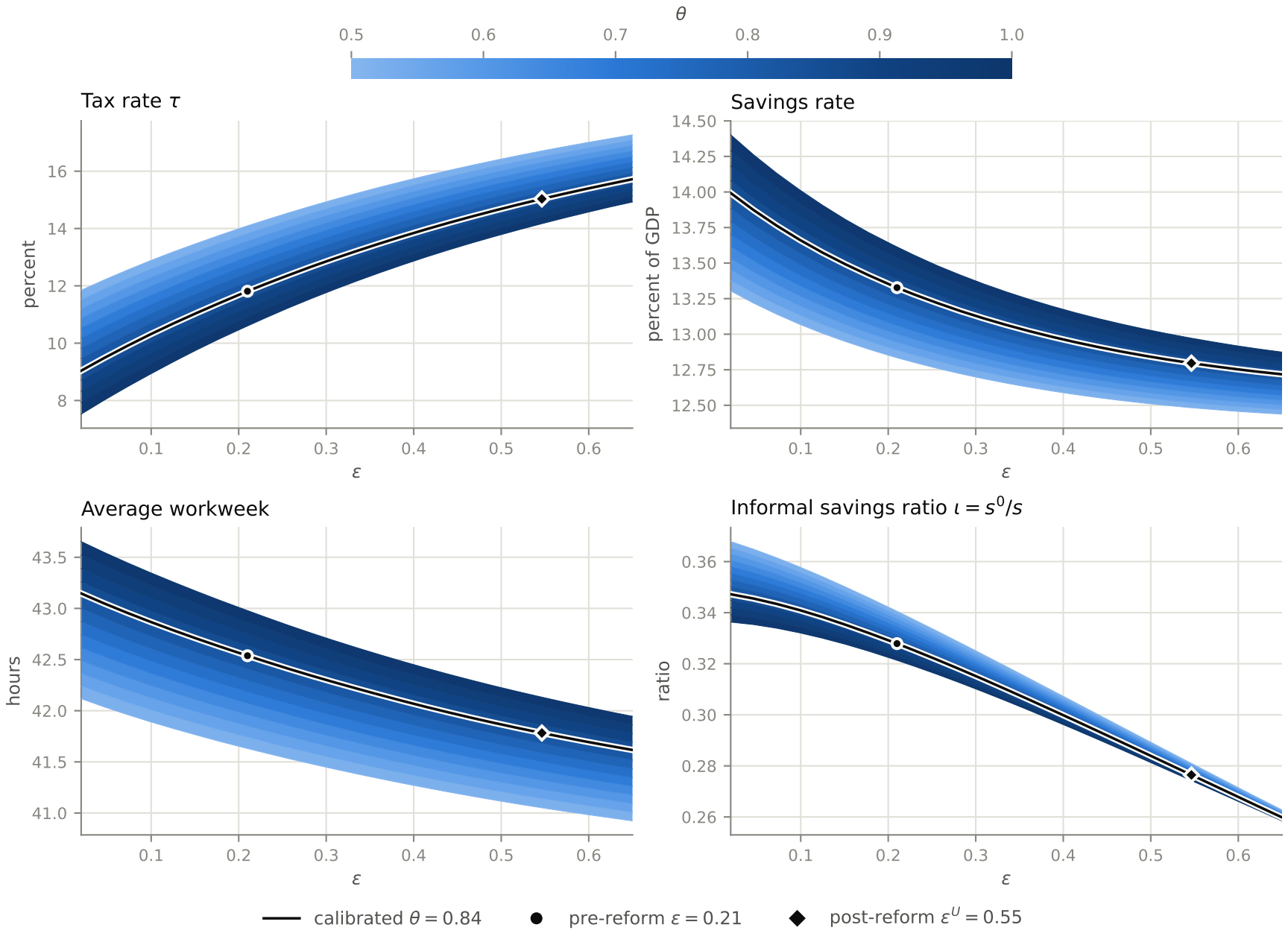
θ
0.5
0.6
0.7
0.8
0.9
1.0
Tax rate τ
percent
16
14
12
10
8
0.1
0.2
0.3
0.4
0.5
0.6
ε
Savings rate
percent of GDP
14.50
14.25
14.00
13.75
13.50
13.25
13.00
12.75
12.50
0.1
0.2
0.3
0.4
0.5
0.6
ε
Average workweek
hours
43.5
43.0
42.5
42.0
41.5
41.0
0.1
0.2
0.3
0.4
0.5
0.6
ε
Informal savings ratio ι = s⁰/s
ratio
0.36
0.34
0.32
0.30
0.28
0.26
0.1
0.2
0.3
0.4
0.5
0.6
ε
calibrated θ = 0.84
pre-reform ε = 0.21
post-reform ε^U = 0.55